

SUBVERTICAL LENS

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden. [DR pp. 23-28]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	5%	We use 5% because Enercare grew revenue 6% in 9M 2018 despite unit growth of only 0.6%, with pricing and mix doing most of the work. Reliance's low-single-digit customer growth before acquisitions supports a mature organic rate below the disclosed Enercare result. Source: DR pp. 7, 18, 24, 26.	MEDIUM
EBITDA margin	53%	We use 53% just below Enercare's disclosed 56% margin because recurring water-heater rentals carry strong contribution, while Reliance's broader HVAC, technician, dispatch and transactional-service mix should dilute the pure rental result. Source: DR pp. 18-19, 24, 26.	MEDIUM
Maintenance capex / revenue	12%	We use 12% to reflect recurring equipment replacement, removal and reinstallation: Enercare exchanged 33,600 assets in 9M 2018 and found used water heaters uneconomic to redeploy, while Reliance cites 14-16-year equipment lives. Neither company provides a clean sustaining-capex split. Source: DR pp. 10, 19, 24, 26.	MEDIUM
Customer tenor INITIAL / EFFECTIVE	Initial / effective 7-10 / 18 yrs	Certain Reliance Ontario forms support a 7-10-year initial term. We model 18 years as a normalized effective-tenure assumption because billing can continue monthly, equipment can be replaced at the same address and Enercare reported 1.9% rental attrition over nine months; it is not an observed cohort life. Source: DR pp. 8, 15, 25, 27.	MEDIUM
Utilization exposure	Low-Moderate	We classify exposure as Low-Moderate because an installed unit earns fixed monthly rent regardless of household usage. The residual risk is account vacancy, equipment removal and seasonal technician or installer capacity rather than consumption volume. Source: DR pp. 25, 27.	HIGH
New-unit / customer payback	8 yrs	We use eight years by triangulating Reliance's C\$1,000-C\$5,500 installed cost against C\$20-C\$100-plus monthly rent, then allowing for installation, service and replacement reserves. Direct unit contribution is undisclosed. Source: DR pp. 8, 11, 21, 25, 27.	MEDIUM
B2B vs B2C	Predominantly B2C	We classify the model as predominantly B2C because roughly 95% of Enercare's rental portfolio was residential water heaters and Reliance primarily markets to homeowners. Builders and property managers may originate accounts, but households remain the economic center. Source: DR pp. 13, 15, 25, 27.	HIGH

SUBSECTOR CATEGORIES		Diversified home comfort Reliance Home Comfort	Rental-led equipment & plans Enercare
Reliance Home Comfort		DIVERSIFIED HOME COMFORT Evidence. Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Certain Ontario forms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and illustrative listed rents of C\$20-C\$100+ per month. [DR pp. 1-11] Business. Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans. Economics. Analyst interpretation. The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used water heaters have limited redeployment value, so the address relationship is the key residual asset.	ENERCARE Evidence. In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable. [DR pp. 12-23] Business. Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems. Economics. Analyst interpretation. The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Used water heaters are replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.

KEY DILIGENCE QUESTIONS	1 Separate recurring rentals and protection plans from one-time sales, service and acquisition-led growth.	2 Validate gross additions, attrition, exchange volume and direct service cost by cohort.	3 Test which installation spending is sustaining replacement rather than true growth capex.
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SUBVERTICAL LENS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure. [DR pp. 15-19]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	8%	We use 8%, below Quench's 13.6% organic growth in 2019, because that result is dated and current workplace demand is more exposed to office occupancy. Primo's Refill/Filtration growth is not a clean filtration-only measure. Source: DR pp. 5, 15-16.	MEDIUM
EBITDA margin	28%	The 28% estimate is anchored directly to Quench's 2019 result of \$32.4 million of EBITDA on \$115.2 million of revenue. Recurring fees support the margin, while technicians, travel, filters, sanitation and repairs constrain it. Source: DR pp. 5, 15-16.	MEDIUM
Maintenance capex / revenue	Not estimated	No estimate is shown. Quench's roughly 160,000-unit fleet proves physical capital intensity, but neither Quench nor Primo discloses filtration-specific sustaining capex or enough replacement-cycle data to support a defensible percentage. Source: DR pp. 1-2, 15, 17.	LOW
Customer tenor INITIAL / EFFECTIVE	Initial / effective 1-12 mos / 6 yrs	The short initial term reflects Quench's primarily month-to-month rentals and Primo's flexible cancellation language. Six years is a modeled effective-tenure assumption based on plumbing, recurring service and multi-unit relationships; customer churn cohorts are unavailable. Source: DR pp. 2, 6-7, 15, 17.	MEDIUM
Utilization exposure	Moderate overall	We classify exposure as Moderate because fixed fees decouple revenue from water consumption, but a returned machine earns nothing until redeployed. Office occupancy, route density and productivity across Quench's 500-plus technicians remain meaningful variables. Source: DR pp. 2, 6, 16-17.	MEDIUM
New-unit / customer payback	Not estimated	No estimate is shown. Units per account and monthly plan pricing cannot establish payback without installed cost, direct unit contribution and customer-acquisition cost, none of which is disclosed for the core filtration model. Source: DR pp. 2, 13, 16-17.	LOW
B2B vs B2C	Predominantly B2B	We classify the core model as predominantly B2B because Quench explicitly serves workplaces and directs residential users elsewhere. Primo broadens the universe into homes and other channels, but its exact filtration customer mix is undisclosed. Source: DR pp. 1-2, 16-17.	HIGH

SUBSECTOR CATEGORIES		Workplace POU filtration AquaVenture Holdings / Quench	Diversified water platform Primo Water
AquaVenture Holdings / Quench		Primo Water	
WORKPLACE POU FILTRATION		DIVERSIFIED WATER PLATFORM	
Evidence. FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with \$115.2 million revenue, \$32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service. [DR pp. 1-7] Business. The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery. Economics. Analyst interpretation. The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.		Evidence. FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible. [DR pp. 8-15] Business. Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. Economics. Analyst interpretation. The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.	

KEY DILIGENCE QUESTIONS	1 Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost and sustaining capex.	2 Separate organic placements and price from acquisitions at Quench and refill-driven growth at Primo.	3 Measure returned-unit recovery, refurbishment, redeployment and scrap rates by product family.
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Submetering Operating Benchmark

SUBVERTICAL LENS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback. [DR pp. 31-37]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Building 6% Meter owner 7%	The 6% building-platform estimate is anchored near ista's 5.2% growth and normalizes Techem's stronger result. The 7% meter-owner estimate is deliberately below SMS's 13% ILARR growth because funded rollout and acquisitions inflated reported rates. Source: DR pp. 9, 13, 18, 21, 31-32, 36.	MEDIUM
EBITDA margin	Building 47% Meter owner 60%	The 47% building estimate uses Techem's roughly 48% group-level margin and ista's 40%-plus evidence; Techem's submetering revenue is disclosed separately, so this is a normalized proxy rather than a segment margin. The 60% meter-owner estimate sits between SMS and Calisen. Source: DR pp. 13, 18-22, 31, 33-34, 36.	MEDIUM
Maintenance capex / revenue	Building 9% Meter owner 30%	We model 9% for building platforms to reflect device, battery, communications and IT refresh. We model 30% for meter owners because owned estates require heavy replacement capital; rollout and growth capital are not cleanly separated from sustaining spend. Source: DR pp. 11, 22-23, 31, 33, 36.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Building 8 / 14 yrs Meter owner 3 / 13 yrs	These are modeled terms, not disclosed weighted-average cohorts. Building installation and data migration support an 8-year initial and 14-year effective relationship; meter-owner legal forms can be short, while compensation can survive supplier switching for roughly 13 years. Source: DR pp. 31, 33, 35-36.	MEDIUM-LOW
Utilization exposure	Building Low Meter owner Moderate	Building-platform exposure is Low because installed meters continue earning regardless of daily consumption. Meter-owner exposure is Moderate because installation throughput, supplier rollout decisions, meter removals and field-team productivity still matter. Source: DR pp. 32-33, 35-36.	MEDIUM
New-unit / customer payback	Building 4.0 yrs Meter owner 6.0 yrs	The modeled four-year building estimate centers the lower-cost device, billing and data cases. The modeled six-year meter-owner estimate is bounded by disclosed meter capex and annual rent evidence across SMS and Calisen. Source: DR pp. 22-23, 32, 34-36.	MEDIUM-LOW
B2B vs B2C	Building B2B; residential end users Meter owner Predominantly B2B	Building owners and managers contract for submetering even when residents consume the utility and receive bills. Meter owners contract with energy suppliers or retailers, making both archetypes economically B2B. Source: DR pp. 32, 34, 36.	HIGH

SUBSECTOR CATEGORIES			
Building submetering & billing ista / Techem / CARMA		Meter asset ownership Smart Metering Systems / Calisen	Mixed metering & utility services Energy Assets
ista BUILDING SUBMETERING & BILLING		Techem BUILDING SUBMETERING & BILLING	CARMA BUILDING SUBMETERING & BILLING
Evidence. 45 million-plus devices, 14 million-plus units, 460,000-plus customers and EUR1,279 million 2025 sales. [DR pp. 8-11] Business. European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers. Economics. Analyst interpretation. Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching.		Evidence. 2025: EUR1,041.5 million submetering revenue; EUR557 million group adjusted EBITDA on EUR1.17 billion group revenue. [DR pp. 12-16] Business. European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers. Economics. Analyst interpretation. Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.	
Smart Metering Systems METER ASSET OWNERSHIP		Calisen METER ASSET OWNERSHIP	Energy Assets MIXED METERING & UTILITY SERVICES
Evidence. Following SMS's combination with Horizon Energy Infrastructure and Smart Meter Assets, the enlarged group reported 6 million-plus UK meters in 2025. [DR pp. 17-20] Business. UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded. Economics. Analyst interpretation. Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.		Evidence. 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million total capex, GBP219 meter capex and GBP23.8 average annual rent per meter. [DR pp. 21-25] Business. UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities. Economics. Analyst interpretation. Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics.	
		Evidence. More than 1.5 million managed assets. Clean segment revenue, EBITDA, capex, churn, and contract-term disclosures are unavailable. [DR pp. 3-7] Business. UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform; customers need compliant metering, data, and field service. Economics. Analyst interpretation. Unit: installed asset with attached data/service. The offering spans recurring metering/data, installation, exchanges, and maintenance; public sources do not quantify revenue mix.	
KEY DILIGENCE QUESTIONS		1 Obtain clean metering-segment financials for Energy Assets and CARMA.	2 Separate rollout and acquisition capex from true estate replacement at SMS and Calisen.
			3 Confirm standard contract terms, renewal cohorts and churn for ista and Techem.

Liquid Environmental Services Operating Benchmark

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SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure. [DR pp. 25-32]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite 8% Route 9%	We use 8% for onsite systems because growth combines installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. We use 9% for route processors because density, cross-sell and treatment throughput offer modestly more upside. Source: DR pp. 4-5, 9-11, 25, 27.	MEDIUM
EBITDA margin	Onsite 21% Route 28%	The 21% onsite estimate is mechanism-based because RTI has no standalone margin disclosure. The 28% route estimate is set below historical S&P commentary citing LES margins above 30%, allowing for dated evidence, mixed services and third-party disposal. Source: DR pp. 5, 10-11, 26, 28.	MEDIUM-LOW
Maintenance capex / revenue	Onsite Not estimated Route 5.0%	Onsite is not estimated because no company discloses a sustaining-capex split for tanks, pumps, filtration, monitoring and vehicles. The retained 5% route estimate reflects observable vacuum fleets and treatment plants, but remains modeled. Source: DR pp. 4-5, 9-11, 20-22, 26, 28.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Onsite Not est. / 9 yrs Route Not est. / 7 yrs	Initial legal terms are not estimated because no company publishes a standard contract term. The retained nine-year onsite and seven-year route values are modeled effective tenures based on embedded equipment, recurring compliance, reliability and bundled service. Source: DR pp. 5, 26, 28.	MEDIUM
Utilization exposure	Onsite Moderate Route Moderate-High	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution. Source: DR pp. 4-5, 9-11, 20-22, 26, 29.	MEDIUM
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market. Source: DR pp. 4, 6, 27, 29.	MEDIUM-LOW
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center. Source: DR pp. 27, 29-30.	HIGH

SUBSECTOR CATEGORIES			
Installed onsite oil systems Restaurant Technologies		Commercial liquid-waste routes Liquid Environmental Solutions / Waste Resources Management	Diversified wastewater services Wind River Environmental
Restaurant Technologies INSTALLED ONSITE OIL SYSTEMS		Liquid Environmental Solutions COMMERCIAL LIQUID-WASTE ROUTES	
Evidence. 45,000-plus kitchens, 41 depots and 1,200-plus employees; about 60% of 2022 revenue was QSR-related. [DR pp. 3-8] Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems. Economics. Analyst interpretation. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots.		Evidence. Historical S&P credit commentary cited margins above 30%; treat this as dated, not a current disclosed margin. Current materials cite 1,020 employees, 670 vehicles, 95 facility/partner sites and 129,500 locations. [DR pp. 9-13] Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance. Economics. Analyst interpretation. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk.	
Waste Resources Management COMMERCIAL LIQUID-WASTE ROUTES		Wind River Environmental DIVERSIFIED WASTEWATER SERVICES	
Evidence. 10,000-plus clients, four states and 300-plus employees; a 2026 deal adds 13 metros. [DR pp. 14-19] Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites. Economics. Analyst interpretation. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.		Evidence. 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions and 16 plants processing 200 million-plus gallons. It is the only benchmarked operator with explicit residential and commercial service lines. [DR pp. 20-24] Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks. Economics. Analyst interpretation. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure.	
KEY DILIGENCE QUESTIONS		1 Obtain standalone revenue, EBITDA and organic growth for all four private businesses.	2 Confirm contract forms, renewal mechanics and customer churn by service line.
			3 Build maintenance capex by onsite systems, vehicles, treatment plants and safety assets.

Transportation Solutions Operating Benchmark

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SUBVERTICAL LENS

Four models require separate estimates: railcar leasing, locomotive leasing, airport GSE leasing and outsourced yard logistics. Asset lessors earn higher margins with heavier reinvestment; yard logistics is labor-led, lower-margin and much lighter-capital. [DR pp. 31-39]

METRIC	ESTIMATE		ASSERTION	CONFIDENCE
Revenue growth	Railcar 4%	Loco 6%	Railcar growth is held to 4% because mature fleets depend mainly on rate, utilization and measured additions; locomotives receive 6% for modernization demand. GSE and yard services receive 8% and 7% for outsourcing, electrification and new-site wins. Source: DR pp. 31-35.	MEDIUM
	GSE 8%	Yard 7%		
EBITDA margin	Railcar 58%	Loco 62%	Railcar and locomotive estimates remain high because lease revenue sits on long-lived assets; the 62% locomotive estimate is normalized below Akiem's roughly 68% result. GSE carries workshop costs, while yard services are labor-led. Source: DR pp. 10, 12, 21, 23, 25-29, 31, 33-36.	MEDIUM
	GSE 30%	Yard 14%		
Maintenance capex / revenue	Railcar 18%	Loco 18%	Railcar and locomotive estimates reflect overhaul, replacement, compliance and ERTMS work; GSE's 14% reflects refurbishment, batteries and workshop support. Yard services require only tractors and technology at 4%. Source: DR pp. 4, 7, 10, 13-15, 31, 33-36.	MEDIUM
	GSE 14%	Yard 4%		
Customer tenor INITIAL / EFFECTIVE	Railcar 4 / 9 yrs	Loco 7 / 12 yrs	Initial terms lengthen with asset value, approval burden and mobilization complexity, making locomotives longest and yard contracts shortest. Effective tenure is longer because fleets, airport packages and embedded yard operations are commonly renewed or refreshed. Source: DR pp. 32-36.	MEDIUM
	GSE 5 / 9 yrs	Yard 3 / 7 yrs		
Utilization exposure	Railcar Moderate	Loco Moderate	Rail exposure is Moderate because leased deployment matters but assets can be redeployed across long economic lives. GSE adds station activity and spare-fleet risk, while yard services are High because contribution depends on productive labor hours. Source: DR pp. 32-36.	MEDIUM
	GSE Moderate-High	Yard High		
New-unit / customer payback	Railcar 9 yrs	Loco 10 yrs	Rail assets receive nine-to-ten-year paybacks because high upfront cost must be recovered over multiple placements and residual value matters. GSE is cheaper but service-heavy at 5.5 years, while yard launch spend can recover in about 1.5 years. Source: DR pp. 32-36.	MEDIUM
	GSE 5.5 yrs	Yard 1.5 yrs		
B2B vs B2C	All models Predominantly B2B		All four models are predominantly B2B because contractual buyers are rail operators, public authorities, airports, ground handlers, industrial firms and logistics providers. The benchmarked operations have no meaningful direct consumer revenue. Source: DR pp. 32-36.	HIGH

SUBSECTOR CATEGORIES				Railcar leasing VTG	Locomotive leasing Akiem	Airport GSE leasing Air Rail / TCR	Yard logistics Lazer Logistics
VTG				Akiem	Lazer Logistics		
RAILCAR LEASING				LOCOMOTIVE LEASING	YARD LOGISTICS		
Evidence. 2024: EUR405m operating cash flow and EUR536m fixed-asset investment, mainly new wagons and maintenance; tank utilization stayed high while intermodal softened. [DR pp. 3-9] Business. Leases and manages European freight wagons for industrial shippers and rail operators. Economics. Analyst interpretation. Unit: earning wagon; revenue: recurring lease plus services. Customers avoid capital and secure compliant, cargo-specific capacity. VTG maintains and redeploys fleets; integration retains customers, while lane loss and intermodal weakness create churn.				Evidence. 2021: 600+ locomotives, 46 passenger trains, about EUR220m revenue and EUR150m EBITDA. [DR pp. 9-15] Business. Leases and maintains locomotives and some passenger rolling stock across Europe. Economics. Analyst interpretation. Unit: locomotive under lease/full service. Operators outsource scarce, compliant traction. Akiem runs workshops, overhauls and upgrades; approvals and uptime support retention, while concession loss or technical mismatch cause churn.		Evidence. EQT reports 550+ sites, 5,000 employees, 6,000 fleet assets and 9m annual service hours. [DR pp. 25-30] Business. Runs warehouse and industrial yards using drivers, equipment, processes and technology. Economics. Analyst interpretation. Unit: site contract/service hour. Recurring site and labor revenue solves trailer-flow bottlenecks. Lazer staffs and supervises yards; integration supports retention, while rebids, closures and volume loss cause churn.	
Air Rail				TCR			
AIRPORT GSE LEASING				AIRPORT GSE LEASING			
Evidence. IFM owns 75%. March 2026: 4,700+ units, about 60 airports, eight countries and 68% of motorized units electric. [DR pp. 15-20] Business. AIR RAIL, S.L. leases, maintains and refurbishes airport GSE; it also has rail activities. Economics. Analyst interpretation. Unit: deployed GSE/station package. Rental, maintenance, parts and resale solve airline/handler capex and uptime needs. Airport service embeds relationships; rebids and transfer friction cause churn. Fleets, batteries and charging drive capital needs.				Evidence. 44,000+ assets, 100+ workshops, 1,800+ employees, 24 countries and 200+ airports. [DR pp. 20-25] Business. Rents, maintains, refurbishes and electrifies GSE for airlines, handlers and airports. Economics. Analyst interpretation. Unit: GSE/airport fleet package. Full-service rent and lifecycle services solve turnaround uptime and capital needs. Workshops, technicians and spares embed TCR; handler rebids drive churn.			
KEY DILIGENCE QUESTIONS		1 Keep the four archetypes separate; asset ownership and labor intensity drive the economics.		2 Obtain gross replacement, refurbishment, electrification and growth-fleet capex splits.		3 Measure paid utilization, off-lease days and redeployment cost by asset family.	

Specialty Rental Operating Benchmark

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SUBVERTICAL LENS

Consumer storage, B2B storage, modular space and trench safety differ in rental duration, service intensity and capital recovery. Simple standardized assets generally support stronger margins and conversion, while modular and project-driven fleets carry greater reset or utilization risk. [DR pp. 28-34]

METRIC	ESTIMATE		ASSERTION	CONFIDENCE
Revenue growth	Consumer Not estimated	B2B storage 5%	Consumer storage is not estimated because PODS lacks a clean organic growth bridge. B2B storage is anchored to Mobile Mini's rate-led result, while modular and trench reflect fleet additions, project pipelines, branch expansion and utility work. Source: DR pp. 9, 28-30, 32.	MEDIUM
	Modular 6%	Trench 6%		
EBITDA margin	Consumer Not estimated	B2B storage 40%	Consumer storage is not estimated because PODS does not disclose a normalized standalone margin. B2B storage is set near Mobile Mini's disclosed 41% result; modular and trench are lower because installation, engineering and hauling add cost. Source: DR pp. 9, 28-32.	MEDIUM
	Modular 34%	Trench 33%		
Maintenance capex / revenue	Consumer Not estimated	B2B storage 6%	Consumer storage is not estimated because PODS's container, delivery and yard sustaining burden is undisclosed. Retained values use long asset lives and residuals for B2B storage, with higher refurbishment and reset needs for modular and trench fleets. Source: DR pp. 8-10, 22, 24, 28-32.	MEDIUM
	Modular 8%	Trench 7%		
Customer tenor INITIAL / EFFECTIVE	Consumer 1 mo / Not est.	B2B storage 3 mos / 4 yrs	PODS supports a one-month initial term, but its effective tenure is not estimated because churn cohorts are unavailable. B2B storage extends month by month, modular remains through school years or projects, and repeat accounts support longer modeled effective tenure. Source: DR pp. 28-32.	MEDIUM
	Modular 18 mos / 7 yrs	Trench 2 mos / 5 yrs		
Utilization exposure	Consumer Not estimated	B2B storage Moderate	Consumer storage is not estimated because PODS lacks comparable fleet, yard and route KPIs. B2B storage and modular are Moderate based on disclosed utilization and redeployability; trench is High because inventory rolls off with projects. Source: DR pp. 8, 10, 18, 20-24, 29-32.	MEDIUM
	Modular Moderate	Trench High		
New-unit / customer payback	Consumer Not estimated	B2B storage 4.5 yrs	Consumer storage is not estimated because acquisition, delivery and logistics contribution is undisclosed. Retained B2B, modular and trench values use General Finance's four-year revenue recovery evidence, then allow for direct cost, maintenance and asset residual value. Source: DR pp. 15, 17, 29-32.	MEDIUM
	Modular 6.0 yrs	Trench 3.5 yrs		
B2B vs B2C	Consumer Mixed; B2C lean	B2B storage Predominantly B2B	Consumer storage is mixed with a B2C lean because household moves are a material demand source. Storage, modular and trench customers are principally contractors, companies, schools, institutions, government bodies and utilities. Source: DR pp. 29-32.	MEDIUM
	Modular Predominantly B2B	Trench Predominantly B2B		

DR = corresponding Deep Research report; cited pages retain source links. Not est. = omitted for low support.